Chapter 2

PATTERNS AND THEIR IMPLICATIONS

As the authors of *Elliott Wave Principle* said with barely contained excitement seventeen years ago, "Because of the position of the Millennium wave and the pyramiding of the fives in our final composite wave picture, this decade could prove to be one of the most exciting times in world history to be writing about and studying the Elliott Wave Principle." What a time it has been! It is difficult to overstate the thrilling experience of The Exuberant Eighties and the first half of the 'nineties, which have witnessed not only a great positive social mood swing, but its results, not the least of which have been the freeing of totalitarian societies and worldwide peace agreements on a scale never before achieved. High on the thrill scale was the soaring stock market and how well it has reflected expectations based upon the Wave Principle. Before we examine that bull market, let's see how it fits into the long term picture.

THE GRAND SUPERCYCLE

In a market letter dated August 25, 1941 (see *R.N. Elliott's Masterworks*, New Classics Library, 1994), R.N. Elliott concluded that the year 1857 had marked a "wave two" bottom and 1928/1929 a "wave three" peak in a gigantic five-wave advance, the classic Elliott wave form. His labeling of waves (II) and (III) in a sequence that would ultimately be labeled (I)-(II)-(III)-(IV)-(V) was a remarkably insightful conclusion given that he had discovered the Wave Principle only five years before in smaller degree formations and that his data was limited to stock price records from 1854 to 1941.

Thirty-seven years later, A.J. Frost and I confirmed Elliott's analysis on the basis of some crucial new information. In the late 1970s, the Foundation for the Study of Cycles released a chart of U.S. stock prices dating from 1789. It was created by splicing the Dow Jones Industrial Average from 1897 to the Cowles Commission Index from 1871 to the Clement-Burgess Index from 1854 to the Cleveland Trust Company Index from 1831 to prices obtained from their independent research covering the period from 1789 to 1830. As you can see in Figure 2-1, which is updated to today, the